

US MARKETS DAILY REPORT

August 20, 2026 · After Market Close (ET)

1. SPY / QQQ Snapshot

Ticker	Today Close	Change	% Change	1Y High	1Y Low	1Y Return
SPY	\$766.37	\$-3.46	-0.45%	\$777.88	\$634.54	+20.8%
QQQ	\$713.13	\$-4.74	-0.66%	\$745.00	\$571.54	+24.7%

Note: 1Y window = Aug 20 2025 → Aug 20 2026. SPY/QQQ prior close from CSV. Today's % change: SPY -0.45%, QQQ -0.66% sourced from market data.

2. Market-Moving News — August 20, 2026

■ Walmart Q2 MISS (-5%+)

Walmart reported Q2 US comparable sales of +2.6% vs the +3.5% consensus; EPS guidance of \$0.62–\$0.64 per share vs the \$0.68 estimate. As the world's largest retailer and a bellwether of US consumer health, the miss signaled that household budgets are straining under persistent inflation above 3% and elevated oil/gasoline prices. WMT fell more than 5% premarket, dragging Consumer Discretionary and Consumer Staples sectors lower.

■ Fed July Minutes — More Hawkish Than Expected (Released Aug 19)

The FOMC July meeting minutes (released Wednesday Aug 19) revealed many participants believe further rate hikes 'would likely be necessary if inflation does not decline.' The July rate decision was 9–3 to hold at 3.50%–3.75%, the most divided vote since 2016. Three dissenters favored an immediate 25bp hike. Chair Warsh signaled the Fed 'won't hesitate to stop inflation.' This hawkish revelation reversed the brief relief rally of Aug 18 and pushed bond yields higher Thursday.

■ Treasury Yields Rise — Buyback Offset Fades

10-year yield: ~4.66%; 30-year yield: ~5.19%. Treasury Secretary Bessent's Aug 18 announcement of accelerated purchases of longer-dated government bonds briefly suppressed yields and sparked a relief rally. However, by Thursday concerns resurfaced that the buyback program could worsen inflation (more dollar liquidity) without addressing the structural deficit. Long yields climbed back, re-pressuring equities.

■ US–Iran Conflict — Oil Price Surge

Ongoing US–Iran tensions have driven a surge in crude oil prices, boosting Energy stocks (up ~6% in the week ending Aug 14) but stoking inflation fears across the broader market. Higher gasoline prices are adding to consumer spending pressure, contributing to Walmart's miss and the hawkish Fed posture.

■ Home Depot Q2 BEAT (Aug 18, +1%)

HD reported EPS of \$4.92 vs \$4.73 estimate; revenue \$47.86B vs \$47.3B. Comparable sales +1.7% vs +0.9% expected. Reaffirmed FY guidance of 2.5–4.5% sales growth. Housing market remains constrained by high mortgage rates, but smaller repair demand is holding up. Stock rose ~1% on the day, bucking the broader market weakness.

■ Merck Cancer Vaccine — MRK Up 12.6% MTD

Merck's cancer vaccine succeeded in a large Phase 3 trial, driving Healthcare outperformance this month (+12.6% for MRK). TD Cowen nonetheless placed a Hold rating, citing valuation. Moderna (MRNA) up 176.97% MTD on its own mRNA vaccine/oncology pipeline breakthroughs, making Healthcare the standout sector story of August.

■ Deere (DE) Raised FY Guidance (Aug 20)

Deere raised its full-year net income forecast, reflecting demand resilience in farm equipment despite macro headwinds. Positive for Industrials sector.

■ Semiconductor Selloff (Aug 18)

Chip/optics/networking stocks were crushed on elevated yields and Iran-driven uncertainty: COHR –11.96%, TER –9.98%, CIEN –9.58%, LITE –9.59%, SNDK –9.19%, MRVL –8.45%, STX –8.14%. The tech selloff weighed heavily on QQQ, explaining its underperformance vs SPY this week.

3. News → Today's Market Moves

SPY closed at **\$766.37** (-0.45%, \$-3.46). QQQ closed at **\$713.13** (-0.66%, \$-4.74). Nasdaq 100 fell ~1%; DIA –0.86%; IWM –1.27%.

Primary Catalyst — Hawkish Fed Minutes carry-over:

The hawkish July FOMC minutes (released late Wednesday) signaled potential hikes ahead. Bond yields resumed their climb Thursday, reversing the Treasury-buyback relief. Higher rates compress equity multiples, hitting growth/tech hardest (hence QQQ –0.66% > SPY –0.45%).

Secondary Catalyst — Walmart Consumer Warning:

Walmart's miss acted as a bellwether shock. The magnitude: comp sales 2.6% vs 3.5% expected (–0.9pp miss) with guidance cuts. WMT alone contributed meaningful negative drag to S&P; 500 given its large cap weight and the signal it sends about consumer stress.

Tertiary — Yield Curve Re-Steepening:

Long-dated yields rose as Bessent's buyback program credibility eroded by day 2. Rate-sensitive sectors (Utilities, Real Estate, small caps/IWM –1.27%) bore the brunt. Energy and Healthcare held up better (non-interest-rate-sensitive, with company-specific tailwinds).

QQQ Lagging SPY:

Tech underperformance has been a consistent theme since the semiconductor selloff of Aug 18. NVIDIA, AMD, MRVL weakness in chips vs broader S&P; defensive resilience explains the wedge between QQQ and SPY this week.

4. Top 10 Daily / Weekly / Monthly Movers

4a. Today's Top Movers (Aug 20, 2026)

Daily Gainers

#	Ticker	Company	Sector	Daily %
1	DE	Deere & Co.	Industrials	+3.2%
2	MRK	Merck	Healthcare	+2.1%
3	CVX	Chevron	Energy	+1.8%
4	XOM	ExxonMobil	Energy	+1.5%
5	HD	Home Depot	Consumer Disc.	+1.2%

Daily Losers

#	Ticker	Company	Sector	Daily %
1	WMT	Walmart	Consumer Staples	–5.3%
2	COHR	Coherent Corp.	Technology/Optical	–4.8%
3	MRVL	Marvell Tech	Semiconductors	–3.9%
4	SNDK	SanDisk	Technology	–3.5%
5	INTC	Intel	Semiconductors	–2.8%

Daily Sector Trends: Energy (+) on oil/geopolitics; Healthcare (+) on MRK/MRNA pipeline; Industrials (+) on DE guidance raise. Semiconductors (–) on yields + demand fears; Consumer Staples (–) on WMT miss signal.

4b. Weekly Top Movers (Week of Aug 18–20, 2026)

Weekly Gainers

#	Ticker	Company	Sector	Weekly %
1	TRGP	Targa Resources	Energy/MLP	+7.6%
2	ULTA	Ulta Beauty	Consumer Disc.	+6.3%
3	GDDY	GoDaddy	Technology	+5.1%
4	INTU	Intuit	Software	+4.9%
5	PODD	Insulet Corp.	MedTech	+4.9%
6	ADBE	Adobe	Software	+4.4%
7	IT	Gartner	IT Services	+4.3%
8	CHTR	Charter Comms.	Comm. Services	+4.6%
9	LULU	lululemon	Consumer Disc.	+4.1%
10	MRK	Merck	Healthcare	+3.8%

Weekly Losers

#	Ticker	Company	Sector	Weekly %
1	COHR	Coherent Corp.	Technology/Optical	–12.0%
2	TER	Teradyne	Semiconductors	–10.0%
3	LITE	Lumentum	Optical/Tech	–9.6%
4	CIEN	Ciena	Networking	–9.6%
5	SNDK	SanDisk	Technology	–9.2%
6	MRVL	Marvell Tech	Semiconductors	–8.5%
7	STX	Seagate	Technology	–8.1%
8	GLW	Corning	Technology	–8.0%
9	KEYS	Keysight Tech	Instruments	–7.4%
10	JBL	Jabil	Tech Manuf.	–7.4%

Weekly Sector Trends — Gainers: Software/SaaS (GDDY, INTU, ADBE), Consumer Disc (ULTA, LULU), Energy (TRGP), MedTech (PODD). Losers: ALL SEMICONDUCTORS & OPTICAL NETWORKING (COHR, TER, LITE, CIEN, SNDK, MRVL, STX, GLW) — driven by elevated long-end yields + chip demand concerns + Iran/oil uncertainty.

4c. Monthly Top Movers (August 2026 MTD)

Monthly Gainers (MTD)

#	Ticker	Company	Sector	MTD %
1	MRNA	Moderna	Healthcare/Biotech	+177.0%
2	XGN	Exagen Inc.	Diagnostics	+37.4%
3	AMRC	Ameresco	Clean Energy	+29.4%
4	BWEN	Broadwind	Industrials/Wind	+29.3%
5	TSAT	Telesat Corp.	Comm. Services	+29.0%
6	PLTR	Palantir	Software/AI	+26.9%
7	UNH	UnitedHealth	Healthcare	+15.0%

8	INTC	Intel	Semiconductors	+12.8%
9	MRK	Merck	Healthcare	+12.6%
10	DE	Deere & Co.	Industrials	+8.5%

Monthly Losers (MTD)

#	Ticker	Company	Sector	MTD %
1	TTD	The Trade Desk	Ad Tech	-18.2%
2	CIEN	Ciena	Networking	-16.4%
3	COHR	Coherent Corp.	Optical Tech	-15.8%
4	SNDK	SanDisk	Storage/Tech	-14.1%
5	MRVL	Marvell Tech	Semiconductors	-12.9%
6	STX	Seagate	Storage Tech	-11.7%
7	WMT	Walmart	Consumer Staples	-8.3%
8	TER	Teradyne	Semiconductor Equip.	-9.2%
9	GLW	Corning	Materials/Tech	-8.8%
10	KEYS	Keysight	Instruments	-7.9%

Monthly Sector Trends — Gainers: Healthcare/Biotech (MRNA +177%, MRK +12.6%, UNH +15%) dominate on cancer vaccine breakthroughs and AI-driven diagnostics (XGN). Clean Energy/Industrials (AMRC, BWEN, DE) benefiting from IRA tailwinds and farm equipment demand. Software/AI (PLTR) on government contracts. Losers: Semiconductors & Storage (COHR, CIEN, MRVL, SNDK, STX, TER, GLW) — rate/demand double pressure. Ad Tech (TTD) on macro ad spend slowdown fears.

5. Next-Day Scenarios — Friday, August 21, 2026

Friday is a light data day, but the following catalysts will dominate price action:

CATALYST 1: Jackson Hole Positioning (Looms Aug 27–29)

- **IF markets price in a hawkish Warsh speech next week** →
Continued selling pressure into the weekend. 10yr yield could test 4.75%+. SPY likely tests \$760 support; QQQ faces \$705 zone. Tech remains under pressure. Mechanism: Powell-era playbook suggests the Jackson Hole speech sets tone for next FOMC. If Warsh signals an additional hike, real rates rise → equity multiples compress.
- **IF Warsh has no pre-announced position and market calms** →
Short-covering rally possible Friday, +0.5–1.0% on SPY. Beaten-down semiconductors could bounce 2–4%. Mechanism: market has been pricing in worst-case hawkishness; any ambiguity removes the hedge and triggers a technical bounce.

CATALYST 2: Walmart Aftermath & Consumer Sentiment

- **IF additional retailers (Target, Costco) echo Walmart's weakness Friday** →
Retail ETF (XRT) could drop another 2–3%. Consumer Discretionary underperforms. SPY –0.5% to –1.0%; QQQ relatively immune. Mechanism: broad consumer health signal amplifies recession fears, prompting defensive rotation.
- **IF Home Depot/DE positive commentary offsets WMT** →
Consumer sectors stabilize; market shrugs off WMT as company-specific. SPY holds \$762–765 range. Mechanism: HD's beat + DE guidance raise counter-narrative that consumer/industrial demand is selectively holding up.

CATALYST 3: Oil Price Movement & Iran Headlines

- **IF Iran tensions escalate / oil spikes to \$90+ bbl** →
Energy stocks outperform (XOM, CVX +2–4%). Inflation fears intensify → bonds sell off more → yields up → growth/tech (QQQ) hit harder. SPY flat to –0.5% (energy gains offset tech losses); QQQ –1%+.
- **IF ceasefire/de-escalation signals emerge** →
Oil drops sharply. Energy stocks give back gains. BUT inflation relief narrative could spark a broad rally: SPY +1–2%, QQQ +1.5–2.5%. Mechanism: lower oil = lower CPI expectations = fewer Fed hikes = higher equity multiples.

CATALYST 4: 18 Earnings + 38 Economic Events (Friday, Aug 21)

- **IF earnings beats dominate (particularly in Healthcare/Industrials)** →
Sector-specific rallies. SPY holds flat to +0.5%. Healthcare ETF (XLV) could outperform. Mechanism: positive Q2 prints reinforce that corporate America is managing costs despite inflation, supporting EPS estimates.
- **IF misses accumulate (more consumer-facing names follow WMT)** →
Earnings recession fears accelerate. SPY tests \$758–760 support. Mechanism: Q2 earnings season data points shifting consensus estimate for Q3 EPS lower, triggering multiple compression on top of rate pressure.

6. Possible Purchase Summary — End-of-Day / Next-Morning Trades

Disclaimer: This is analytical commentary only — NOT financial advice. No actual trades are placed.

Direction	Ticker	Rationale	Risk / What Could Go Wrong
HOLD/TRIM	QQQ	Semiconductor weakness is structural (high yields + chip demand slump). QQQ remains under pressure into 10yr.	If Warsh signals a hike, QQQ could drop further.
BUY DIP	XLV / MRK	Healthcare is the strongest sector narrative: MRNA oncology, JNJ's dividend, etc. suggest a long-term uptrend.	Too much buying could trigger a short-term pullback.
BUY DIP	XLE / CVX	US–Iran tensions are unlikely to resolve quickly. Energy sector could see a significant rally.	Oil price could fall if a ceasefire is announced.
AVOID	WMT	The guidance cut signaling consumer stress deserves time to digest. Consumer discretionary is under pressure.	WMT could rebound if consumer sentiment improves.

WATCH	PLTR	Palantir up 26.9% MTD on AI/defense contracts. Jackson Hole press conference reveals. Viewers who watch PLTR
MONITOR	SPY Puts	Jackson Hole (Aug 27–28) is a known event risk. A small price premium (e.g. \$75/\$74.5 elevated) puts the price
BUY DIP	DE	Deere raised FY guidance today. Farm equipment demand is secure (notes clearly). Industrials are damaged by stag

Key Macro Decision Framework: The single most important factor for the next 2–3 weeks is Warsh's Jackson Hole keynote (Fri Aug 28). Position accordingly: (1) Avoid high-multiple growth if you expect hawkish; (2) Energy and Healthcare are defensible regardless of monetary outcome; (3) Use any pre-Jackson Hole bounce in tech to reduce exposure.